

taking physical delivery of gold. In other words, investing in gold ETFs is investing in gold in dematerialized³⁶ (demat) form.

Gold ETFs are designed to provide returns that closely correspond to the returns provided by physical gold. Each ETF unit is approximately equal to the price of 1 gm of gold (or may be 10 grams of gold in some ETFs).

Some of the clear merits of investing in gold ETFs over traditional investment techniques are as follows:

1. ETFs are potentially cheaper as compared to other available avenues, like jewellery. In the latter, there is too much overhead in the cutting, polishing and other labour costs. These do not apply to gold ETFs.
2. ETFs are quick and convenient to deal through your demat account. You do not have to go to the bank or the jeweler to buy or sell gold. It is as easy as buying or selling any stock. You can buy and sell at will.
3. There are no storage or security issues with ETFs. Since you do not possess any physical gold, you eliminate all the risks associated with the up keep of the same.
4. The pricing is transparent. The same prices are available to everybody. You do not have to worry about the price of the gold or its purity.
5. Gold ETFs are listed and traded just like any other stock. You can buy or sell them through demat and trading online account or through the stock broker that you normally deal with for transaction of your other stocks. So, you do not need any additional setup to start investing in gold ETFs.
6. They are ideal for a retail investor as the minimum size is 1 unit. This is the real booster for beginners and retail investors who want to make systematic monthly investments in gold. Imagine how difficult it would be to go to a jeweller and buy 1 gm of gold every month.

Overall, gold ETFs are the best avenue from an investment and liquidity perspective as compared to other gold investment avenues.